2.8.2 National Income and Welfare

National Income is considered as an indicator of the economic wellbeing of a country. The economic progress of countries is measured in terms of their GDP per capita and their annual growth rate. A country with a higher per capita income is supposed to enjoy greater economic welfare with a higher standard of living.

But the rise in GDP or per capita income need not always promote economic welfare. The per capita income as an index of economic welfare suffers from limitations which are stated below:

1. The economic welfare depends upon the composition of goods and services provided. Incase of greater proportion of capital goods over consumer goods, the improvement in economic welfare will be lesser. Similarly the production of luxuries is meant for rich classes only.
2. Higher GDP with greater environmental hazards such as air, water and soil pollution will be of little economic welfare.
3. The production of war goods will show the increase in national output but not welfare.
4. An increase in per capita income may be due to employment of women and children or forcing workers to work for long hours. But it will not promote economic welfare.

Therefore the Physical Quality of Life Index (PQLI) is considered a better indicator of economic welfare. It includes standard of living, life expectancy at birth and literacy.

2.8.3 National Income & Erosion of national Wealth

For achieving higher GDP, larger natural resources are being depleted or damaged. This means reduction of potential for future growth. Hence, it is suggested that while assessing national income, loss of natural resources should be subtracted from national income.

2.8.4 National income in terms of US$

When Indian national income is expressed in terms of US$, the former looks very low. If Purchasing Power Parity (PPP) method is adopted India looks better.

2.8.5 Social and Environmental Cost

While producing economic goods, many environmental and social bads are also generated. Hence, they also must be considered while enumerating National income.

Summary

The national income of a country describes the economic performance or production performance of a country. Economists, planners, government, businessmen and international agencies (IMF, World Bank, etc.,) use national income data and analyses them for various purposes. National income data help in measuring changes in the standard of living over time and also enable us to compare standard of living of different countries. Level of development of a country is also measured by using national income figures.

12-Economics-Chapter_2.indd 31 23-12-2022 14:42:05